

THE WALL STREET JOURNAL.

DOW JONES | News Corp

THURSDAY, JULY 30, 2026 ~ VOL. CCLXXXVIII NO. 25

WSJ.com

★★★★ \$5.00

DJIA 51594.14 ▼ 1153.18 2.19% NASDAQ 24442.94 ▼ 1.7% STOXX 600 645.01 ▼ 0.3% 10-YR. TREAS. ▼ 4/32, yield 4.621% OIL \$84.46 ▲ \$5.20 GOLD \$4,034.70 ▼ \$1.60 EURO \$1.1468 YEN 163.42

What's News

Business & Finance

◆ **Fed officials held** interest rates steady in a range of 3.5% to 3.75% over the objections of three bank presidents who wanted an increase. **A1**

◆ **Major U.S. stock indexes** fell after Fed chair Kevin Warsh showed some reluctance to raise rates. The S&P 500, Dow and Nasdaq shed 1.5%, 2.2% and 1.7%, respectively. **B1**

◆ **Oil prices surged** more than 7% after a fresh round of fighting across the Middle East undermined efforts to end a five-month-old conflict. **A6**

◆ **Meta platforms** reported record revenue for the second quarter, but the company's performance contained signs that AI spending may be weighing on its business. **A1**

◆ **Microsoft reported** robust cloud growth and a boost in the number of paid artificial-intelligence subscribers, saying revenue increased 18% in the quarter ended in June. **B1**

◆ **General Dynamics** reported higher profit and revenue for the second quarter as performance improved across all of the defense company's business lines. **B3**

◆ **Qualcomm's third-quarter** profit fell, hurt by lower sales and higher memory costs, and the company gave a soft outlook for the current quarter. **B2**

◆ **Health insurer Humana** cut its earnings outlook for the year as the company continues to face headwinds from lower Medicare Advantage Star Ratings for 2026. **B3**

◆ **Boston Scientific** cut its full-year outlook after revenue from its Watchman heart implant slowed and its electrophysiology business ran into fiercer competition. **B3**

Worldwide

◆ **The U.S. began launching** strikes on Iran in retaliation for Tehran's missile attacks against American U.S. forces in Jordan, as hopes were dashed for a quick diplomatic breakthrough. **A1**

◆ **The Pentagon earmarked** more than \$120 billion for contractors to step up production of Patriot missiles and long-delayed submarines to support future combat operations. **A6**

◆ **A Senate committee** vote on confirming Trump's nomination of Todd Blanche as attorney general was postponed as the administration struggled to win over hold-out Republicans. **A4**

◆ **Anthony Fauci** repeatedly invoked the Fifth Amendment as the longtime government scientist declined to answer questions in a heated Senate hearing on the pandemic. **A4**

◆ **Russia charged** Telegram founder Pavel Durov with abetting terrorism for allegedly disregarding how Ukraine uses the platform to plan attacks in Russia. **A7**

◆ **A federal judge sided** with New Jersey, ruling that the state doesn't have to turn over its unredacted voter rolls to the Trump administration. **A3**

◆ **Two New Jersey men** and a Washington state man accused of plotting to support Islamic State pleaded guilty to terrorism-related offenses. **A2**

◆ **Searchers in Kosovo** inspected what could be a mass grave of people missing since the 1998-99 separatist war with Serbia. **A6**

◆ **Died: Glen Hansard**, 56, Irish singer-songwriter. **A6**

CONTENTS Money & Investing B12
Arts in Review... A12 Opinion... A13-15
Business & Finance B2-3 Personal Journal A9-10
Crossword... A10 Sports... A16
Heard on Street... B12 Technology... B4
Market Data... B7 U.S. News... A2-4
Markets... B11 World News... A6-8



© 2026 Dow Jones & Company, Inc.
All Rights Reserved

Fed Stands Pat, With Three Dissents

Dissenters back a rate increase amid elevated inflation; stocks fall sharply

By NICK TIMIRAOS

WASHINGTON—Federal Reserve officials held interest rates steady Wednesday over the objections of three bank presidents who wanted an increase, underscoring how pressure is building inside the central bank to act on inflation that has run above its target for five years.

The Fed held its benchmark rate steady, in a range of 3.5% to 3.75%, in a 9-3 vote. The rate-setting panel issued the same policy statement as it did in June, when it also held rates steady. The decision left Chairman Kevin Warsh's vow to end the run of above-target inflation to rest for a second straight meeting on words rather than action.

The three Fed presidents who voted for a quarter-point rate hike—Beth Hammack of Cleveland, Neel Kashkari of Minneapolis and Lorie Logan of Dallas—had opposed in April the decision to issue a

statement that suggested a rate cut was more likely than an increase. It was the first time since 2016 that three officials dissented in the same direction over a policy change.

After the meeting, Warsh said the Fed didn't have a magic wand that would be able to bring inflation down quickly. "I hear from you what I hear more broadly from households and businesses: Impatience. 'Deliver it already,'" he told a reporter. "The suggestion that we're going to be able to do it with our magic wands is one I want to disabuse you and everyone else of."

The Dow Jones Industrial Average sank more than 1,100 points, or 2.2%, after Warsh gave remarks that some traders interpreted as a signal that rate increases in the near future are less likely. The S&P 500 fell 1.5%, while the Nasdaq Composite tumbled 1.7%.

At last month's meeting, around half of officials thought a rate increase would be warranted later this year. Inflation data released two weeks ago had been mild enough to ease pressure on the Fed to raise rates at this meeting. But renewed fighting between the U.S. and Iran sent

energy prices higher again last week.

The conflict has underscored officials' fraying patience with looking past another price shock on the heels of tariff-related increases last year and with robust demand stemming from the AI build-out.

For households, the message is that relief on borrowing costs is unlikely to arrive soon. The Fed's benchmark rate most directly affects short-term borrowing such as

Please turn to page A2

◆ **Stocks slide after Warsh remarks**..... **B1**

Fauci Refuses to Answer Senators' Covid Queries



TAKES THE FIFTH: Dr. Anthony Fauci, who led the U.S. response to the Covid-19 pandemic, repeatedly invoked his Fifth Amendment rights before a Senate committee hearing, which he said he believed was part of a slander campaign against him. **A4**

Meta's AI Spending, Missed Forecasts Hit Shares

By MEGHAN BOBROWSKY

Meta Platforms investors tuned into the company's second-quarter earnings call hoping to hear reassuringly specific answers about how much more the company expects to spend on artificial intelligence and how it plans to monetize that investment. Failing to hear them, they punished the social-media company's stock, sending it down more than 10% in after-hours trading.

Meta announced record revenue for the second quarter, but an update on the company's AI spending plans and the shrinking of free cash flow to less than \$1 billion heightened scrutiny on the cost of its infrastructure build-out.

On a call with investors and analysts, Meta Chief Executive Mark Zuckerberg said the company has "quite a number of offers" from companies to buy its excess computing power at a premium but that its immediate focus is on using that capacity on its own endeavors.

Meta's performance for the quarter contained signs of AI spending creating drag on its business. Free cash flow, which exceeded \$12 billion in the first quarter, dwindled to less than \$784 million, although it did not descend into negative territory as analysts had forecast. Net income fell by 14% from a year earlier.

The company also slightly revised its projected capital spending, saying its minimum for the year would be \$130 billion.

Please turn to page A4

◆ **Microsoft AI** makes sales gains, profit jumps 31%... **B1**

◆ **Zuckerberg says U.S.** should speed up AI push..... **B4**

Morgan Stanley Pushed Bankers To Approve Client Mortgages

By ANNAMARIA ANDRIOTIS

Inside Morgan Stanley's private bank for the ultrawealthy over the past year, an employee in the mortgage-lending department tried to question how a client kept applying for new home loans claiming he would be living in the residences.

The client had received several owner-occupied loans in just a few years, and the banker was objecting to a new one, people familiar with the

matter said. Those mortgages often came with lower interest rates and require smaller down payments for the borrower than second homes or investment properties would, and seeking the wrong type of loan can be considered fraud.

"This is getting ridiculous," the banker said.

His mortgage colleagues told him to drop his concerns, the people said. They didn't want to deal with pushback from a financial adviser who managed

the client's wealth assets.

After the mortgages were given out, the banker would look up the properties online. He found some structures had been knocked down and others had undergone renovations and were for sale, the people said.

In Morgan Stanley units catering to wealthy clients, there is tension between the financial advisers tasked with managing these high rollers and the mortgage employees who

Please turn to page A2

INSIDE



U.S. NEWS

New Mexico is divided over what to do with a \$75 billion windfall from oil. **A3**



BUSINESS & FINANCE

The most radical jetliner design since the Concorde wants to take on Boeing. **B1**

River Cruises Are a Real Snooze And That's the Way Fans Like It

* * *

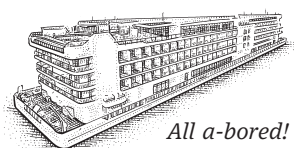
No kids, no casinos, no umbrella drinks:
Viking passengers love the lack of energy

By JENNIFER WILLIAMS

When Gary Breslau boards a cruise ship, he doesn't want fun. Forget rambunctious kids, overserved nights at the bar or wild pool romps.

Fortunately for him, Viking's river cruises specialize in sedated.

"They don't need a nightclub, and they don't need a waterslide," said the 71-year-old



All a-bored!

retiree. "Excitement on a Viking cruise is the trivia game."

For a certain class of traveler, boring is the ultimate luxury. River cruises have long

Please turn to page A10

Band of Socialists Sows Panic in Democratic Party

Once a fringe wing, the movement is wielding surprising political power

Megan Romer likes to spend her free time sewing costumes for school plays, picking blackberries in her backyard in rural Cayuga County, N.Y., and watching her partner play the fiddle in folk bands.

In her day job, she is seeking to overthrow capitalism.

By James Fanelli,
Joshua Chaffin,
Eliza Collins
and Kevin T. Dugan

Romer, 42 years old, is the national co-chairwoman of the Democratic Socialists of America, the far-left organization whose candidates have swept to victory in several recent high-profile races by preying on Democratic incumbents. The next show-down comes next Tuesday, when Congressional primaries in Missouri and Michigan again pit Democratic so-

cialists against incumbent Democrats.

"This is what we've been building toward," Romer said.

Already, the DSA's advances are stirring consternation—and sometimes panic—among mainstream Democrats dreading their own Tea Party moment in which a radical fringe hijacks the party and taints their brand just as they are trying to appeal to swing voters to win control of Congress in November's midterms.

This month, the DSA called for defunding the Defense Department, abolishing police and getting rid of the Senate, and replacing the president and Supreme Court with representatives "chosen by and subordinate to Congress."

"The DSA poses a fundamental threat to the Democratic Party and to the nation as a whole. Based on their

Please turn to page A8